

New Trail Design LLC

Tax Reference Guide

Federal & Indiana State | Tax Year 2026 | Greensburg, Indiana

Disclaimer

This is a personal reference guide, not legal or tax advice. Think of it as a study guide that explains how taxes work for your situation. Always verify with a CPA before filing.

1. What Kind of Business Are You?

Understanding your business structure is the first step — it determines how you file and what forms you use.

Item	Detail
Business name	New Trail Design LLC
Business type	Single-member LLC (SMLLC) — you are the only owner
How the IRS sees it	A "disregarded entity" — the IRS ignores the LLC and taxes you as a sole proprietor
What that means	You do not file a separate business tax return. All business income and expenses go on your personal 1040.
What you sell	Custom software services — you build things for clients, they pay you
Sales tax	Generally none — Indiana does not require sales tax on custom software services

Plain English

Your LLC is a legal protection shield — it does not change how the IRS taxes you. All your business money flows through to your personal tax return, just like a freelancer or contractor.

2. Federal Taxes

2.1 Self-Employment Tax — The Big One

When you work a regular job, your employer pays half of your Social Security and Medicare taxes. When you work for yourself, you pay both halves. That is what self-employment tax is.

Item	Detail
Total rate	15.3% of your net profit after expenses
Social Security part	12.4% — goes toward your future Social Security benefits
Medicare part	2.9% — goes toward Medicare coverage when you are older
The \$400 rule	If you made less than \$400 profit this year, you owe zero self-employment tax
Silver lining	You can deduct half of this tax from your income — the IRS gives you that break because you are paying both sides

Real Example

You net \$5,000 this year. SE tax = $\$5,000 \times 92.35\% \times 15.3\%$ = about \$706. You then deduct half (~\$353) from your taxable income. So you only pay income tax on \$4,647, not the full \$5,000.

2.2 Regular Income Tax

After self-employment tax, your remaining income is taxed at regular income tax rates. The standard deduction for a single person in 2024 is \$14,600 — meaning if your total income is under that, you owe zero federal income tax (though you may still owe SE tax).

Tax Rate	2024 Income Range
10%	\$0 – \$11,600
12%	\$11,601 – \$47,150
22%	\$47,151 – \$100,525
24%	\$100,526 – \$191,950
32%+	Above \$191,950

What this means for you

At your income level, your effective income tax rate will likely be 0–12% after the standard deduction. Your SE tax (15.3%) is actually the bigger bill. That is normal for self-employed people.

2.3 Quarterly Taxes — Paying As You Go

Nobody withholds taxes from your paychecks now, so the IRS requires you to make estimated payments four times a year. If you expect to owe more than \$1,000 and do not pay quarterly, you get an underpayment penalty.

Quarter	Due Date
January – March	Pay by April 15
April – May	Pay by June 17
June – August	Pay by September 16
September – December	Pay by January 15 of the following year

Where to pay: directpay.irs.gov — free, no account needed, takes 5 minutes.

Simple rule

Every time a client pays you, move 25-30% of that payment into a separate savings account. That is your tax money. Pay from that account quarterly and you will never be caught off guard.

2.4 The Forms You Will Use

Item	Detail
Form 1040	Your main personal tax return — everything rolls up into this
Schedule C	Lists your business income and all your expenses — determines your profit
Schedule SE	Calculates your self-employment tax based on Schedule C profit
Form 1040-ES	Vouchers for quarterly payments (or just pay online)
Form 1099-NEC	What clients send you if they paid you \$600+ in a year
W-9	You give this to new clients before they pay you — lets them send you a 1099

2.5 Things You Can Write Off

Every dollar spent on legitimate business expenses reduces your profit — and lower profit means lower taxes. Keep receipts for everything.

- Home office — dedicated workspace: deduct % of rent, utilities, internet based on square footage
- Computer, monitors, and equipment — anything you use to do client work
- Software subscriptions — Cursor, GitHub, Figma, any tool used for projects
- Your phone — the portion used for business (typically 50-80%)

- Internet bill — the business portion
- Hosting and domain fees — Cloudflare, Firebase, domain registrars
- Education and courses — anything that improves your existing skills
- Marketing costs — ads, business cards, anything spent getting clients
- Attorney and CPA fees — fully deductible
- Business insurance — general liability and professional liability premiums
- Bank fees and Square processing fees — all deductible
- Health insurance premiums — 100% deductible if you pay for your own coverage

Record-keeping

Keep a folder (physical or digital) with your invoices and bank statements. If the IRS ever questions a deduction, you need to prove you spent the money on business.

3. Indiana State Taxes

3.1 Indiana Income Tax

Indiana uses a flat tax rate — everyone pays the same percentage regardless of income. That makes your state tax bill easy to calculate.

Item	Detail
Indiana flat rate	3.05% of net income (dropping to 3.0% in 2025)
Standard deduction	\$1,000 — much lower than federal, so nearly everyone owes something
Personal exemption	Another \$1,000 off your taxable income
Due date	April 15 — same day as your federal return
Form	Indiana Form IT-40

3.2 Decatur County Tax

Indiana counties charge their own income tax on top of the state rate, based on where you live on January 1 of the tax year.

Item	Detail
Decatur County rate	Approximately 1.5% (verify at in.gov/dor before filing — rates can change)
Combined total	About 4.55% combined state + county on your net income
How to pay	Included on your Indiana IT-40 state return — no separate form needed

Easy math

If you made \$10,000 in profit this year, your Indiana + Decatur County tax is roughly \$455. Federal SE and income taxes are much larger — Indiana state tax is the manageable part.

3.3 Indiana Quarterly Payments

Indiana also wants quarterly payments if you expect to owe more than \$1,000 in state tax. Same due dates as federal. Pay at intime.dor.in.gov using Form ES-40.

3.4 Sales Tax — Good News

Item	Detail
Indiana sales tax rate	7%

Custom software you build	Generally NOT taxable — you are selling a service, not a product
Pre-made software products	Would be taxable if sold
Do you need to collect it?	Almost certainly no, based on what you do

You are in the clear

Because you build custom software specifically for each client (not a generic off-the-shelf product), Indiana generally does not require you to collect sales tax. If you ever sell a packaged product or template, check with your attorney.

3.5 Biennial Business Report — Do Not Forget This

Every Indiana LLC must file a simple report with the state every two years confirming you are still in business. Missing it can get your LLC dissolved by the state.

Item	Detail
How often	Every 2 years
Fee	\$32 online, \$50 by mail
Where to file	inbiz.in.gov
Due date	By the end of the month of your LLC formation anniversary
If you miss it	Indiana can administratively dissolve your LLC — it legally stops existing

4. Your Tax Calendar

Print this and keep it visible. These are the dates that matter.

Date	What to Do
January 15	Pay Q4 estimated taxes (federal and Indiana) for Oct–Dec of the prior year
January 31	Clients who paid you \$600+ must send you a 1099-NEC by this date
April 15	File federal return (Form 1040 + Schedule C + SE) AND pay Q1 estimated taxes
April 15	File Indiana return (Form IT-40) AND pay Indiana Q1 estimated taxes
June 17	Pay Q2 estimated taxes (both federal and Indiana)
September 16	Pay Q3 estimated taxes (both federal and Indiana)
October 15	Extended federal return deadline (only if you filed for extension in April)
Every 2 years	File Indiana Business Entity Report at inbiz.in.gov (\$32)

5. How Much to Set Aside

Every time a client pays you, move this percentage into a separate tax savings account immediately.

Tax Type	How Much to Hold Back
Self-employment tax	~14% (15.3% adjusted for the SE deduction)
Federal income tax	~5-12% (depends on your total income for the year)
Indiana state + county tax	~5%
Total to set aside	25-30% of every payment received

The simple version

Every time a client pays you \$1,000, immediately move \$280 into a separate savings account. Do not spend it. Pay quarterly from that account. If you overpay, you get a refund in April.

6. How to Legally Lower Your Tax Bill

You only pay tax on your profit — what is left after expenses. The more legitimate business expenses you have, the lower your tax bill.

The magic number: \$400

If your total business profit for the year is under \$400 after all expenses, you owe zero self-employment tax. Federal income tax also disappears after the standard deduction at low income levels. Big purchases in a good year can dramatically reduce what you owe.

6.1 How Your Tax Bill Is Calculated

Step	What It Means
Start with	Total money received from clients
Subtract	All legitimate business expenses (tools, equipment, subscriptions, etc.)
What is left = profit	This is the only number your taxes are calculated on — not your gross revenue
If profit < \$400	You owe no self-employment tax at all
If profit < \$14,600	You likely owe no federal income tax after the standard deduction

6.2 Section 179 — Full Deduction in Year One

Normally when you buy something expensive for your business, the IRS makes you spread the deduction over several years. Section 179 lets you deduct the full cost in the year you buy it.

Item	Detail
2024 limit	\$1,220,000 — covers essentially anything you would buy as a small business
What qualifies	Business vehicles, computers, cameras, equipment, furniture, software
When to claim it	The same year you buy it and start using it for business
Requirement	Must actually be used for business — personal use reduces the deduction proportionally
How to claim	Your tax software or CPA fills out Form 4562

Real example

You made \$20,200 in profit. You bought a \$20,000 work vehicle. You deduct the full \$20,000 under Section 179. Profit drops to \$200. SE tax on \$200 = ~\$28. Federal income tax = \$0. Indiana tax = ~\$9. Total tax bill: roughly \$37 instead of \$5,000+.

6.3 The Catch — Depreciation Recapture

If you later sell a Section 179 asset for more than \$0, the IRS wants some money back. This is called depreciation recapture.

Item	Detail
What it is	When you sell a previously deducted asset, the profit from the sale is taxable as ordinary income
Example	You deducted a \$20,000 truck. Three years later you sell it for \$10,000. That \$10,000 is taxable income.
How to handle it	Keep the asset in business use. Talk to your CPA before selling anything previously deducted.

6.4 Best Deductions for a Software Studio

Expense	Notes
Work vehicle	Fully deductible under Section 179 if used for business. Keep a mileage log.
Computer and setup	Full cost deductible. Your main tool for the work.
Home office	Dedicated workspace only. Deduct the % of your home used exclusively for work.
Software subscriptions	Cursor, GitHub, Figma, any tool used for client work.
Phone bill	50-80% of your bill depending on business vs. personal use.
Health insurance	100% deductible if self-employed and not on someone else's plan.
SEP-IRA contributions	Up to 25% of net profit (max \$69,000 in 2024) — reduces taxable income dollar for dollar.
Attorney and CPA fees	Both fully deductible — professional advice is a business expense.
Business insurance	General liability and professional liability premiums — fully deductible.

SEP-IRA — Set This Up When You Can

A SEP-IRA is a retirement account for self-employed people. You can contribute up to 25% of net profit and deduct every dollar. Example: \$20,000 profit, contribute \$5,000 — now you are only taxed on \$15,000. Taxes go down AND you are saving for retirement.

7. Useful Links

Resource	Where to Go
Pay federal taxes online	directpay.irs.gov — free, no account needed
Set up auto-pay for federal	eftps.gov — schedule quarterly payments in advance
Pay Indiana taxes online	intime.dor.in.gov
Indiana tax info	in.gov/dor
Indiana LLC business filing	inbiz.in.gov — also where you file your biennial report
IRS self-employed help	irs.gov/businesses/small-businesses-self-employed
Indiana county tax rates	in.gov/dor/tax-forms/county-tax-rates
Free tax software	IRS Free File at irs.gov/filing/free-file — free if income under \$79,000

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